WHOLESALE CREDIT PORTFOLIO

The Firm's wholesale businesses are exposed to credit risk through underwriting, lending and trading activities with and for clients and counterparties, as well as through various operating services such as cash management and clearing activities. A portion of the loans originated or acquired by the Firm's wholesale businesses is generally retained on the balance sheet. The Firm distributes a significant percentage of the loans it originates into the market as part of its syndicated loan business and to manage portfolio concentrations and credit risk.

The wholesale credit environment remained favorable throughout 2014 driving an increase in client activity. Growth in loans retained was driven primarily by activity in Commercial Banking, while growth in lending-related commitments reflected increased activity in both the Corporate & Investment Bank and Commercial Banking. Discipline in underwriting across all areas of lending continues to remain a key point of focus, consistent with evolving market conditions and the Firm's risk management activities. The wholesale portfolio is actively managed, in part by conducting ongoing, in-depth reviews of client credit quality and transaction structure, inclusive of collateral where applicable; and of industry, product and client concentrations. During the year, wholesale criticized assets decreased from 2013, including a reduction in nonaccrual loans by 40%.

Wholesale credit portfolio

December 31,	Credit exposure		Nonperforming[d]	
(in millions)	**2014**	2013	**2014**	2013
Loans retained	**$324,502**	$308,263	**$ 599**	$ 821
Loans held-for-sale	**3,801**	11,290	**4**	26
Loans at fair value	**2,611**	2,011	**21**	197
Loans – reported	**330,914**	321,564	**624**	1,044
Derivative receivables	**78,975**	65,759	**275**	415
Receivables from customers and other[a]	**28,972**	26,744	**–**	–
Total wholesale credit-related assets	**438,861**	414,067	**899**	1,459
Lending-related commitments[b]	**472,056**	446,232	**103**	206
Total wholesale credit exposure	**$910,917**	$860,299	**$ 1,002**	$ 1,665
Credit Portfolio Management derivatives notional, net[c]	**$ (26,703)**	$ (27,996)	**$ –**	$ (5)
Liquid securities and other cash collateral held against derivatives	**(19,604)**	(14,435)	**NA**	NA

(a) Receivables from customers and other include $28.8 billion and $26.5 billion of margin loans at December 31, 2014 and 2013, respectively, to prime and retail brokerage customers; these are classified in accrued interest and accounts receivable on the Consolidated balance sheets.

(b) Includes unused advised lines of credit of $105.2 billion and $102.0 billion as of December 31, 2014 and 2013, respectively. An advised line of credit is a revolving credit line which specifies the maximum amount the Firm may make available to an obligor, on a nonbinding basis. The borrower receives written or oral advice of this facility. The Firm may cancel this facility at any time by providing the borrower notice or, in some cases, without notice as permitted by law.

(c) Represents the net notional amount of protection purchased and sold through credit derivatives used to manage both performing and nonperforming wholesale credit exposures; these derivatives do not qualify for hedge accounting under U.S. GAAP. For additional information, see Credit derivatives on page 127, and Note 6.

(d) Excludes assets acquired in loan satisfactions.